

at least 80 years ago with the publication of *Security Analysis*, and the wild success of his most famous pupil, Buffett, makes this highly unlikely. Buffett has written at length about value investment in his letters to the shareholders of Berkshire Hathaway since the 1960s, describing his process and his influences. A more plausible explanation is that investors prefer glamour strategies to value strategies for behavioral reasons. As we'll see, this is not a phenomenon unique to lay investors. De Bondt and Thaler found "considerable evidence" that professional security analysts and economic forecasters tended to display the same so-called "overreaction bias." Lakonishok et al. also argued that both individual and institutional investors engage in suboptimal behavior, for cognitive reasons or because of so-called principal-agency problems. We'll examine those reasons next.

Notes

1. Frank C. Babbitt (trans). *Plutarch: De Fortuna Romanorum. Moralia*. (Cambridge: Vol. IV of the Loeb Classical Library edition) 1936.
2. Ibid.
3. Carmina Burana.
4. William Shakespeare. *Henry V Act 3, Scene VI*. Available at <http://www.online-literature.com/shakespeare/henryV/16>.
5. Frank J. Miller (trans). *Seneca's Tragedies With an English Translation by Frank Justus Miller in Two Volumes II: Agamemnon, Thyestes, Hercules Octaeus, Phoenissae, Octavia*. (New York: G.P. Puttnam's Sons) 1917. Available at <http://archive.org/details/tragedieswitheng02seneuoft>.
6. F. Galton. "Regression Towards Mediocrity in Hereditary Stature." *The Journal of the Anthropological Institute of Great Britain and Ireland*. 15: 246–263, 1886.
7. J. M. Keynes. *The General Theory of Employment, Interest and Money* (New York: Palgrave Macmillan. 1936.
8. Werner F.M. De Bondt and Richard H. Thaler. "Does the Stock Market Overreact?" *Journal of Finance* 40 (3) (1985): 793–805.
9. W. De Bondt and R. Thaler. "Further Evidence on Investor Overreaction and Stock Market Seasonality," *Journal of Finance*, July, 42 (3) (1987), pp. 557–581.
10. Warren Buffett and Carol Loomis, "Mr. Buffett on the Stock Market." *Fortune Magazine*, November 1999. Available at http://money.cnn.com/magazines/fortune/fortune_archive/1999/11/22/269071.
11. Warren Buffett, "Chairman's Letter." *Berkshire Hathaway, Inc. Annual Report*, 1987.
12. Buffett and Loomis, 1999.
13. Ibid.
14. Elroy Dimson, Paul Marsh, and Mike Staunton. *The Triumph of the Optimists: 101 Years of Global Investment Returns*. (Princeton: Princeton University Press) 2002.